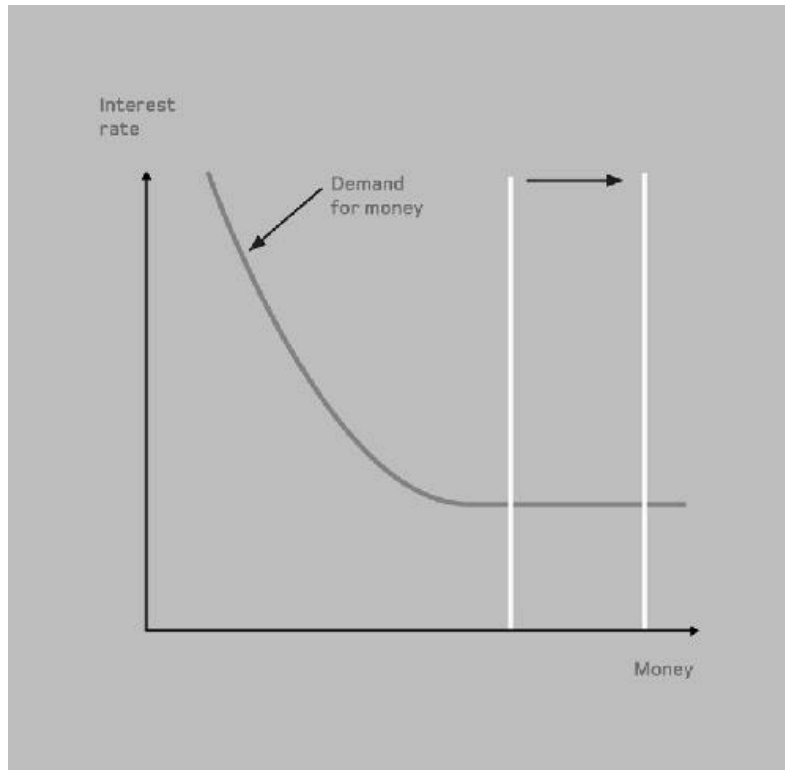


Liquidity trap

Some economists believe that countries can become stuck in a liquidity trap in which monetary policies become ineffective. Normally, during downturns governments attempt to boost the economy by cutting interest rates to encourage investment. But if interest rates are already very low, it may not be possible to reduce them any further. In this case expansionary monetary policy (see [Monetary policy](#)) will do nothing to help the economy recover: money is simply held onto as cash, rather than being lent out to fund investment.

An example of a possible liquidity trap was Japan in the 1990s, when interest rates were low and the economy stagnated. It has also been argued that during the economic troubles of the last few years many leading countries have become stuck in liquidity traps. One solution to such a trap is inflation: while nominal interest rates can't fall below zero, encouraging inflation can make real interest rates negative, which may help stimulate the economy by encouraging investment.



Central bank increases money supply. Interest rate does not fall, so economy is not stimulated.